

Reality Check

There are a million stories like this in the naked city, in the small town, and in your neighborhood. The image that every credit card user is shopping on Rodeo Drive, buying diamond-encrusted designer handbags for their dogs, is not the real story. There certainly is an occasional debt situation where someone is needlessly purchasing clothes, shoes, vacations, what have you; but take a look at the credit card statements of most Americans. You will see charges for school supplies, cough syrup, and toilet paper.

Most credit card debt accumulates when there is a job loss, a medical illness, a divorce, or a death in the family. People turn to their credit cards when they are in a crisis mode, to simply help them get by. When the crisis passes and they want to pay off their debts, they find that the balance they owe has exponentially increased over what they originally charged. No one argues that a reasonable amount of interest is inherent in the use of credit. What is an outrage are the shocking fees, penalties, and increases of the interest rate, and the insinuation that the fault lies with the card holder.

The consumer lending industry wants to avoid the reality, and the culpability, and place the blame on the struggling citizen. You will hear the spokespeople of the mega-corporations make statements to the effect that if the credit card holder can't be "responsible enough" to pay off their bill, then they should not be using their credit cards.

If they want to debate responsible, let me take the podium.

Who's Scamming Whom?

Where do I begin? The credit card industry has an unbridled sense of entitlement. They receive a small percentage fee of each single transaction made with a credit card, and most anything these days can be paid for with plastic. It was not so long ago that grocery stores, fast food restaurants, and some Mom and Pop joints did not accept credit cards. Now, anything, anywhere, can be paid for with your credit card. Gone are the days when you could tell your children, "No, we can't stop at McDonald's. I do not have any cash." Even a four-year old today knows that all we need to buy anything is a small but powerful rectangular object that fits in our jeans pocket.